

Global Operations, Financial Performance & Risk Management Report

FY2025–26

Company:

Apex Meridian Industries Ltd.

Reporting Period:

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Report Date:

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Headquarters:

Mumbai, India

Industry:

Industrial Infrastructure, Logistics & Advanced Materials

Prepared for:

Board of Directors and Institutional Stakeholders

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Internal Corporate Report

Table of Contents

1. Executive Summary
2. Corporate Overview
 - 2.1 Business Segments
 - 2.2 Geographic Footprint
 - 2.3 Operating Model
 - 2.4 Strategic Priorities
3. Financial Performance
 - 3.1 Revenue Performance
 - 3.2 Profitability
 - 3.3 Cash Flow
 - 3.4 Capital Allocation
4. Regional Operations
5. Supply Chain & Logistics
6. ESG Performance
 - 6.1 Environmental
 - 6.2 Social
 - 6.3 Governance
7. Enterprise Risk Management
8. Scenario Stress Testing
9. Capital Investment Program
10. Workforce & Human Capital
11. Technology Transformation
12. Governance & Compliance
13. FY2026–27 Outlook
14. Appendix

1. Executive Summary

Apex Meridian Industries Ltd. delivered a resilient operational and financial performance during the FY2025–26 reporting period, navigating a highly complex global macroeconomic landscape characterized by supply chain volatility and dynamic shifts in regional industrial demand.

Overall FY2025–26 performance demonstrated substantial top-line momentum. Total revenue for the fiscal year reached a record \$4.82 billion, representing a marked acceleration in core infrastructural investments across our primary markets. This revenue growth was largely driven by sustained demand in the Infrastructure Solutions and Global Logistics divisions, which effectively capitalized on renewed public and private sector capital deployment across South Asia and the Middle East.

Despite robust revenue realization, operating cost changes presented significant headwinds. Total operating expenditure climbed to \$3.17 billion. The inflationary environment, particularly concerning raw material procurement and specialized industrial labor, necessitated aggressive cost-containment strategies. International logistics conditions proved uniquely challenging; global maritime bottlenecks and localized port congestion drove a steep escalation in freight rates, fundamentally altering our landed-cost economics for cross-border materials.

In response to capacity constraints and to support future growth, the company executed a rigorous capital expenditure program totaling \$615 million. These investments were strategically directed toward factory automation, digital supply chain integration, and capacity expansion in high-yield geographies. Concurrently, our ESG performance showed measured improvement. We advanced our decarbonization agenda, reducing Scope 1 and Scope 2 emissions while increasing the share of renewable energy powering our global manufacturing footprint to 39%, reflecting our deep commitment to sustainable industrialization.

Major operational risks encountered during the year centered around supply chain continuity, geopolitical disruptions affecting key trade corridors, and energy price volatility. Mitigation measures enacted included the diversification of supplier networks, implementation of advanced AI-driven inventory buffers, and the execution of long-term energy procurement contracts to stabilize manufacturing inputs. These preemptive actions protected EBITDA margins, allowing the firm to report a solid \$842 million EBITDA for the fiscal year.

Looking ahead, the outlook for FY2026–27 remains cautiously optimistic. While baseline demand for advanced materials and infrastructure services is projected to grow, persistent macroeconomic uncertainty dictates a highly disciplined approach to capital allocation. The strategic imperatives for the coming year involve scaling our AI analytics platforms, further reducing supply chain vulnerability, and integrating newly acquired warehouse capacities to defend our market position against emerging operational shocks.

Key Enterprise Metrics

The following key-value pairings summarize the fundamental scale, scope, and financial standing of Apex Meridian Industries as of the close of FY2025–26. These metrics form the baseline for the detailed variance

analysis presented throughout this report and serve as primary indicators of enterprise health and operational velocity.

Company Name	Apex Meridian Industries Ltd.
Document ID	AMI-FY26-OPS-RISK-001
Fiscal Year	FY2025–26
Reporting Currency	USD
Employees	18,420
Manufacturing Facilities	11
Distribution Centers	27
Countries of Operation	14
Primary Markets	India, Singapore, UAE, Germany, United Kingdom
Total Revenue	\$4.82 billion
EBITDA	\$842 million
Net Capital Expenditure	\$615 million

These metrics are profoundly critical as they quantify the structural complexity of our global operations. The scale of our employee base (18,420 personnel) alongside our extensive physical footprint (11 manufacturing facilities and 27 distribution centers) underscores the necessity for rigorous, data-driven governance. Furthermore, the international revenue contribution, which stands at 38.6%, highlights our exposure to cross-border logistics costs and foreign exchange volatility, validating the comprehensive risk management framework detailed in subsequent sections of this document.

2. Corporate Overview

2.1 Business Segments

Apex Meridian Industries operates through four primary business segments, each engineered to address specific requirements within the global industrial lifecycle. These segments function synergistically, allowing the enterprise to capture value from raw material synthesis through to end-point logistical delivery.

Infrastructure Solutions: Our flagship division focuses on heavy civil engineering materials, structural steel processing, and turnkey project management for massive-scale public works. This segment benefits from multi-year government contracts, providing high revenue visibility.

Advanced Materials: Specializing in high-tensile composites, industrial lubricants, and specialized polymers. The R&D intensity in this segment is the highest across the firm, driving our competitive moat in aerospace and automotive supply chains.

Global Logistics: Operating a massive fleet of intermodal assets and managing our 27 distribution centers. This division not only services internal requirements but acts as a critical 3PL (Third-Party Logistics) provider to external industrial clients.

Industrial Services: Encompassing facility maintenance, predictive asset monitoring, and heavy machinery leasing. This provides recurring, high-margin revenue streams that counter-balance the cyclical nature of our infrastructure projects.

2.2 Geographic Footprint

Our operational architecture spans 14 countries, strategically anchored in regions that offer optimum blends of raw material proximity, labor efficiency, and end-market access. The headquarters in Mumbai, India, serves as the central command node, overseeing the primary manufacturing hubs located across Southeast Asia and the Indian subcontinent.

European operations, primarily centered in Germany and the UK, are heavily oriented towards Advanced Materials and specialized engineering, leveraging localized R&D talent. Meanwhile, our Middle Eastern footprint (notably the UAE) acts as a pivotal logistics bridge and a rapidly expanding market for Infrastructure Solutions.

2.3 Operating Model

The firm utilizes a vertically integrated matrix operating model. Manufacturing facilities operate on a lean-production paradigm, augmented by deep IoT integration to facilitate real-time capacity adjustments. Cross-functional enterprise teams bridge the gap between regional directors and segment heads, ensuring that strategic mandates (such as cost rationalization or sustainability targets) are executed uniformly across diverse cultural and regulatory environments.

2.4 Strategic Priorities

For the medium term, our strategic priorities are rigidly defined by three pillars: Digital Supply Chain

resilience, aggressive Decarbonization, and High-Margin Revenue capture. We are systematically divesting from commoditized product lines where pricing power is low, redirecting capital toward AI-enabled industrial services and sustainable infrastructure materials.

Segment Performance Summary

The structural composition of our revenue base reflects our strategic pivot towards integrated solutions. The table below delineates the financial and human capital distribution across our core operational segments.

Business Segment	Revenue	Revenue Share	YoY Growth	Employees
Infrastructure Solutions	\$1.74B	36.1%	8.4%	6,120
Advanced Materials	\$1.21B	25.1%	5.7%	4,380
Global Logistics	\$0.93B	19.3%	11.2%	3,740
Industrial Services	\$0.94B	19.5%	7.1%	4,180

Table 2.1 — Business Segment Operational & Financial Contribution (FY2025–26)

3. Financial Performance

3.1 Revenue Performance

Top-line performance during FY2025–26 exceeded internal guidance models, culminating in a total revenue of \$4.82 billion. This achievement represents the culmination of aggressive market penetration strategies in our Asian and Middle Eastern corridors. The international revenue contribution stood firm at 38.6%, showcasing the efficacy of our diversified global footprint in shielding the enterprise from localized economic downturns.

3.2 Profitability

EBITDA for the fiscal year was recorded at \$842 million. Maintaining profitability margins in the current fiscal environment required a relentless focus on operational excellence. While pricing power allowed for the pass-through of certain raw material cost inflation, margin defense was primarily achieved through manufacturing automation efficiencies and strategic hedging in energy markets.

3.3 Cash Flow & 3.4 Capital Allocation

Free Cash Flow generation remains a core strength of Apex Meridian, providing the requisite liquidity to fund our extensive capital investment programs. The disciplined approach to capital allocation ensures that debt covenants are strictly adhered to while aggressively funding high-ROI technological and infrastructural upgrades.

5-Year Historical Trajectory

Fiscal Year	Revenue	EBITDA	EBITDA Margin	Free Cash Flow
FY2022	\$3.61B	\$531M	14.7%	\$318M
FY2023	\$3.94B	\$602M	15.3%	\$347M
FY2024	\$4.21B	\$681M	16.2%	\$401M
FY2025	\$4.55B	\$771M	16.9%	\$472M
FY2026	\$4.82B	\$842M	17.5%	\$526M

Table 3.1 — 5-Year Historical Financial Performance

The 5-year historical trend unequivocally demonstrates sustained, compounding growth. Since FY2022, revenue has expanded by over 33%, while EBITDA has grown at an even steeper trajectory, reflecting continuous margin expansion. The EBITDA margin improvement from 14.7% in FY2022 to 17.5% in FY2026 highlights the successful transition toward higher-value industrial services and stringent structural cost controls.

Operating Cost Analysis

Total operating expenditure for the period was \$3.17 billion. The composition of this expenditure experienced significant shifts compared to the prior fiscal year.

Expense Category	FY2025	FY2026	Change
Raw Materials	\$1.18B	\$1.27B	+7.6%
Personnel	\$0.61B	\$0.67B	+9.8%
Logistics	\$0.39B	\$0.48B	+23.1%
Technology	\$0.18B	\$0.22B	+22.2%
Research & Development	\$0.21B	\$0.25B	+19.0%
Other Operating Costs	\$0.35B	\$0.28B	-20.0%

Table 3.2 — Operating Expenditure Variance Analysis

Logistics expenditure increased significantly during FY2025–26, primarily due to higher maritime freight rates and extended transit times. The logistics expense reached \$480 million, up 23.1% YoY, representing the single largest relative increase in our cost structure. See Section 5 for detailed logistics cost analysis. Meanwhile, technology and R&D spending intentionally surged as part of our strategic transformation initiatives, offset by a substantial 20% reduction in 'Other Operating Costs' driven by corporate overhead rationalization.

4. Regional Operations

Our global footprint is highly diversified, yet intentionally biased toward high-growth industrializing economies. Regional performance variations highlight the localized impacts of global macroeconomic trends.

Region	Revenue	Growth	Operating Cost	Risk Level
India	\$2.96B	7.9%	\$1.82B	Medium
Europe	\$0.71B	4.8%	\$0.49B	Medium
Middle East	\$0.48B	12.6%	\$0.34B	High
Southeast Asia	\$0.42B	10.4%	\$0.27B	Medium
North America	\$0.25B	6.1%	\$0.17B	Low

Table 4.1 — Regional Revenue, Cost, and Risk Assessment Profile

The Indian domestic market continues to serve as our operational bedrock, contributing the lion's share of revenue (\$2.96B) with steady 7.9% growth, supported by massive national infrastructure outlays. Europe displayed tepid but reliable growth of 4.8%, heavily weighted toward high-margin Advanced Materials.

Notably, the Middle East region recorded the highest relative growth at 12.6%. However, it operates under complex supply chain constraints. The Middle East region is discussed further in Section 8.3 because of elevated logistics and geopolitical exposure, which contributes to its "High" risk categorization. Southeast Asia similarly exhibited strong double-digit growth, serving as an increasingly vital manufacturing alternative within our intra-regional supply networks.

5. Supply Chain & Logistics

During the FY2025–26 cycle, global supply chain architectures experienced extreme duress. For Apex Meridian, the primary friction points revolved around maritime transportation constraints, highly volatile marine fuel costs, and severe shipping delays cascading from major intermodal chokepoints.

Our operational response mandated an immediate re-evaluation of inventory management paradigms. We pivoted away from strict "just-in-time" models, systematically increasing our inventory buffers across key raw materials to insulate manufacturing schedules from external shocks. Furthermore, we aggressively tackled supplier concentration risks, actively onboarding secondary and tertiary vendors in alternate geographies to decentralize material sourcing.

Freight cost increased by 21.8% year-over-year. The localized port congestion, particularly in Southeast Asian hubs, exacerbated turnaround times, forcing vessels to idle and triggering profound cascading delays across our intra-company distribution networks.

Supply Chain Indicator	FY2025	FY2026	Change
Average Transit Time	18.4 days	22.1 days	+20.1%
Average Freight Cost	\$2,840/container	\$3,460/container	+21.8%
Port Delay	2.7 days	4.1 days	+51.9%
Safety Stock	21 days	28 days	+33.3%
Supplier Concentration	42%	38%	-4 percentage points

Table 5.1 — Critical Supply Chain Health Indicators

The strategic expansion of Safety Stock from 21 to 28 days successfully absorbed the shock of increased transit times (up to 22.1 days) and severe port delays (up 51.9% to 4.1 days). Additionally, the reduction of supplier concentration to 38% represents a structurally safer procurement posture heading into the next fiscal year.

6. ESG Performance

6.1 Environmental

Environmental stewardship remains inextricably linked to our long-term industrial viability. In FY2026, we achieved a definitive reduction in carbon intensity across our manufacturing fleet. By integrating advanced thermodynamic recovery systems and aggressively procuring green power, we significantly offset the energy requirements of our heavy industrial processes.

6.2 Social

The health, safety, and continuous development of our 18,420 employees is our foremost social imperative. Workplace safety protocols were overhauled using AI-driven predictive hazard monitoring, resulting in a measurable decline in incident rates across all global manufacturing facilities.

6.3 Governance

Corporate governance mechanisms were strengthened through the appointment of dedicated regional compliance officers and the implementation of transparent, auditable ESG reporting standards aligned with international frameworks.

Metric	FY2025	FY2026	Target FY2027
Scope 1 Emissions	184,000 tCO ₂ e	169,500 tCO ₂ e	155,000 tCO ₂ e
Scope 2 Emissions	126,000 tCO ₂ e	113,200 tCO ₂ e	100,000 tCO ₂ e
Renewable Energy Share	31%	39%	50%
Water Consumption	2.8M m ³	2.5M m ³	2.2M m ³
Workplace Incident Rate	1.9	1.5	<1.2

Table 6.1 — Core ESG Key Performance Indicators (KPIs)

There is a direct relationship between ESG performance and operational risk mitigation. Reduced reliance on fossil fuels insulates our manufacturing margins from energy price shocks (as detailed in our Enterprise Risk frameworks). Similarly, declining water consumption mitigates the risk of operational curtailment in drought-

prone operational zones, whilst improvements in workplace safety fundamentally reduce legal liabilities and workforce disruption costs.

7. Enterprise Risk Management

Apex Meridian Industries employs a rigorous, quantitative approach to enterprise risk. Our centralized risk registry evaluates potential operational disruptions based on probability, financial impact, and total exposure values. See Section 7 for the corresponding enterprise risk exposure metrics.

Risk ID	Risk	Probability	Impact	Exposure	Mitigation	Owner
R-001	Maritime Disruption	High	High	\$184M	Alternate shipping routes	Supply Chain
R-002	Energy Price Volatility	Medium	High	\$96M	Long-term contracts	Procurement
R-003	Currency Volatility	Medium	Medium	\$71M	Natural hedging	Treasury
R-004	Cybersecurity Incident	Medium	High	\$48M	Zero-trust controls	Technology
R-005	Regulatory Change	Low	High	\$37M	Compliance monitoring	Legal
R-006	Supplier Failure	Medium	Medium	\$62M	Dual sourcing	Operations

Table 7.1 — Global Enterprise Risk Register

Detailed Risk Analysis

R-001: Maritime Disruption

Maritime Disruption exposure is quantified at \$184M. This represents the most critical immediate threat to our operational continuity. Geopolitical tensions and maritime chokepoint closures directly affect our ability to land raw materials in our primary Asian manufacturing hubs. The cascading effects are profound: delayed revenue realization, inflated inventory holding costs, and severe margin compression on fixed-price contracts. Mitigation relies heavily on dynamic routing algorithms and securing dedicated container capacity well in advance of peak seasons.

R-002: Energy Price Volatility

With an exposure of \$96M, sudden spikes in global hydrocarbon and electricity markets pose a substantial threat, particularly to our energy-intensive Advanced Materials segment. The firm utilizes sophisticated procurement strategies, executing long-term, fixed-price energy contracts while concurrently accelerating our transition to onsite renewable generation to physically hedge against grid price volatility.

R-003: Currency Volatility

Operating across 14 countries intrinsically creates multi-currency exposure, estimated at \$71M. Fluctuations in the USD relative to the INR, EUR, and regional Middle Eastern currencies can artificially distort revenue figures and import costs. The Corporate Treasury unit employs natural hedging strategies, matching local currency revenues with local operating costs wherever structurally possible, supplemented by targeted forward contracts.

R-004: Cybersecurity Incident

The digitization of our industrial control systems and supply chain platforms creates a \$48M exposure to malicious cyber events. A successful breach could result in factory downtime, intellectual property theft, or logistics paralysis. To mitigate this, Technology division mandates strict zero-trust network architecture across all global assets.

R-005 & R-006: Regulatory Change & Supplier Failure

Regulatory shifts (Exposure: \$37M) regarding environmental tariffs or cross-border trade restrictions require constant legal monitoring. Meanwhile, Supplier Failure (\$62M) is aggressively mitigated through our recently implemented dual-sourcing mandate, ensuring no single component relies entirely on a singular, geographically isolated vendor.

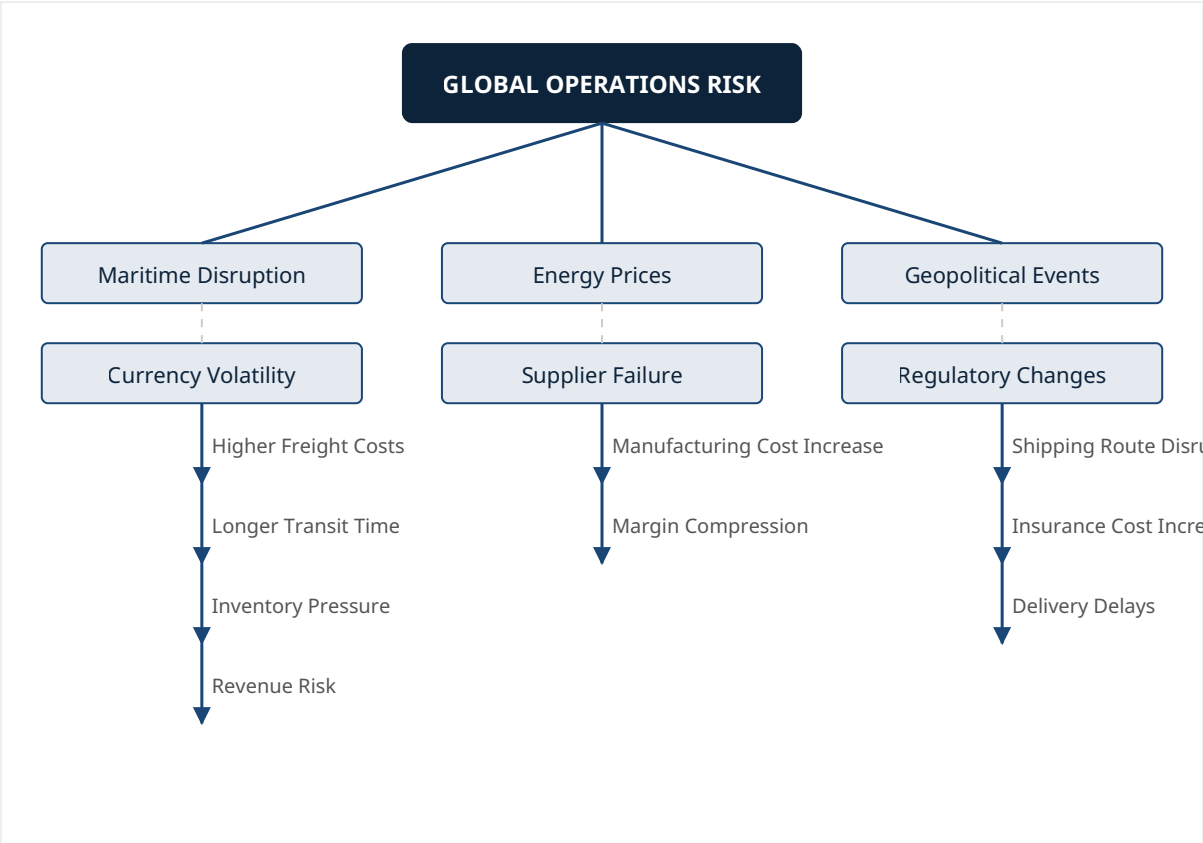


Figure 7.1 — Enterprise Risk Relationship Map

8. Scenario Stress Testing

To quantify our resilience against compounded macro-environmental shocks, the firm conducts rigorous multi-variable stress testing. Scenario assumptions are described in Section 8 to provide transparency into our operational planning boundaries. These scenarios model simultaneous deteriorations in shipping logistics, energy markets, and general trade fluidity.

BASE CASE

- **Shipping Cost:** +5%
- **Oil Price:** +4%
- **Trade Delay:** +2%
- **Estimated EBITDA Impact:** -1.2%

The Base Case represents a normalized inflationary environment. In this scenario, minor supply chain frictions are easily absorbed through existing price escalation clauses within our client contracts, resulting in negligible impacts to overall profitability margins.

ADVERSE CASE

- **Shipping Cost:** +18%
- **Oil Price:** +12%
- **Trade Delay:** +10%
- **Estimated EBITDA Impact:** -4.6%

The Adverse Case models significant structural stress. Here, adverse scenario shipping cost = +18%, triggering noticeable margin degradation. Prolonged trade delays force the utilization of premium air-freight options for critical components.

SEVERE CASE

- **Shipping Cost:** +35%
- **Oil Price:** +28%
- **Trade Delay:** +21%
- **Estimated EBITDA Impact:** -9.8%

The Severe Case contemplates catastrophic breakdown in key shipping lanes coupled with an energy price shock. In this environment, manufacturing curtailment becomes necessary, and nearly 10% of EBITDA is eroded. Capital expenditure freezes would immediately be enacted to protect liquidity.

The adverse scenario is considered the principal planning case for contingency preparation because it combines elevated shipping costs, higher energy prices and prolonged trade delays.

Scenario	Shipping Cost	Oil Price	Trade Delay	EBITDA Impact	Risk Rating
Base Case	+5%	+4%	+2%	-1.2%	Low
Adverse Case	+18%	+12%	+10%	-4.6%	Medium
Severe Case	+35%	+28%	+21%	-9.8%	High

Table 8.1 — Multi-Variable Stress Test Modeling (FY2026 Baseline)

9. Capital Investment Program

To defend against the systemic vulnerabilities highlighted in our stress testing, and to fortify long-term growth capacities, Apex Meridian executed a robust capital deployment strategy. Net capital expenditure for the fiscal year amounted to \$615 million. This allocation is heavily skewed toward technological enablement and operational redundancy rather than sheer footprint expansion.

Program	Investment	Expected Benefit	Completion	Risk
Factory Automation	\$182M	18% productivity improvement	72%	Medium
Renewable Energy	\$96M	14% energy cost reduction	61%	Low
Digital Supply Chain	\$74M	12% inventory reduction	83%	Low
Warehouse Expansion	\$131M	20% throughput increase	48%	Medium
AI Analytics Platform	\$132M	8% forecasting improvement	35%	High
Total:	\$615M			

Table 9.1 — Major Capital Expenditure Allocations (FY2025–26)

The strategic rationale underlying this portfolio of investments is multifaceted. Factory automation (\$182M) directly combats localized labor shortages and wage inflation. The \$132M investment into a proprietary AI Analytics Platform represents a foundational paradigm shift; though currently categorized as 'High' execution risk due to implementation complexity, this platform is expected to fundamentally revolutionize our demand forecasting accuracy and dynamically optimize our intermodal logistics networks.

10. Workforce & Human Capital

Human capital remains the critical engine of our operational execution. The industrial talent market has grown increasingly competitive, particularly regarding specialized engineers and technical supply chain personnel. Our strategic HR initiatives focus on retention, upskilling, and cultivating a high-performance corporate culture.

Employee count: 18,420
New hires: 1,260
Attrition: 8.4%
Training hours: 31.7 per employee
Leadership diversity: 34%

The enterprise maintained a relatively stable total headcount of 18,420 employees globally. While

natural attrition stood at 8.4%—well within industry benchmarks—the successful onboarding of 1,260 new hires ensured no capacity gaps hindered manufacturing operations. Furthermore, our commitment to continuous learning is evidenced by an average of 31.7 training hours per employee, heavily weighted toward digital fluency and advanced safety protocols.

Department	Employees	New Hires	Attrition
Engineering	4,820	310	6.2%
Operations	6,410	420	9.1%
Sales	2,280	180	10.4%
Technology	2,160	210	7.2%
Corporate	2,750	140	8.0%

Table 10.1 — Human Capital Distribution by Department

11. Technology Transformation

To sustain market leadership, Apex Meridian has accelerated its enterprise-wide digital overhaul. The core tenets of this transformation include wholesale cloud migration, the deployment of an integrated data platform, comprehensive cybersecurity modernization, and the embedding of AI-assisted forecasting across all commercial workflows.

Technology Program	Status	Investment	Business Impact
Cloud Migration	Completed	\$48M	22% infrastructure efficiency
Predictive Maintenance	Pilot	\$17M	11% downtime reduction
AI Demand Forecasting	Production	\$31M	8% forecast improvement
Cybersecurity Modernization	In Progress	\$26M	31% faster incident detection

Table 11.1 — Strategic Technology Transformation Portfolio

The successful completion of our Cloud Migration initiative has fundamentally decentralized our IT architecture, providing massive scalability and yielding a 22% improvement in infrastructure cost-efficiency. Currently, the AI Demand Forecasting platform (now in full production) is generating tangible commercial value. By accurately predicting regional material demands, the system has driven an 8% forecast improvement, directly mitigating the inventory bloat historically associated with volatile industrial cycles. Concurrently, the ongoing Cybersecurity Modernization effort is crucial for protecting these new, highly interconnected digital assets.

12. Governance & Compliance

A robust governance framework is non-negotiable for an enterprise operating across 14 international jurisdictions. Our oversight mechanisms span strict internal controls, proactive regulatory monitoring, rigorous independent audit processes, structured data governance, and exacting supplier compliance standards.

Control Area	Status	Exceptions	Owner
Financial Reporting	Compliant	2	Finance
Data Privacy	Compliant	1	Legal
Supplier Compliance	Needs Review	7	Procurement

Control Area	Status	Exceptions	Owner
Cybersecurity	Compliant	3	Technology
ESG Reporting	Compliant	2	Sustainability

Table 12.1 — Enterprise Compliance and Control Audit Findings

While the vast majority of our control areas exhibit full compliance with negligible exceptions, Supplier Compliance currently holds a "Needs Review" status. The 7 recorded exceptions relate primarily to secondary tier suppliers in emerging markets failing to meet our accelerated ESG reporting timelines. Procurement leadership has enacted a 90-day remediation mandate to bring these vendors into full alignment with corporate policy.

13. FY2026–27 Outlook

The operational and financial trajectory for FY2026–27 points toward continued, albeit highly managed, expansion. Revenue expectations indicate a forecasted growth trajectory breaching the \$5 billion threshold, anchored by massive infrastructural backlog clearance in South Asia and new geographic expansion into select African corridors.

However, the macroeconomic environment remains fraught with friction. Logistics remains a major FY2026–27 risk. The structural capacity constraints within global shipping lanes are not expected to normalize until at least Q3 of the coming fiscal year, necessitating the continuation of our expanded safety stock policies. Furthermore, energy prices are projected to remain structurally elevated, validating our aggressive pivot towards renewable energy targets.

Our competitive advantage will increasingly rely on our AI investments. By synthesizing massive streams of real-time supply chain data, we aim to transform our logistics network from a cost-center into a highly agile, predictive advantage. Capital expenditure will remain elevated as we finalized these technological implementations alongside crucial physical warehouse expansions.

Metric	FY2026 Actual	FY2027 Target
Revenue	\$4.82B	\$5.21B
EBITDA	\$842M	\$948M
EBITDA Margin	17.5%	18.2%
CapEx	\$615M	\$690M
Renewable Energy	39%	50%

Table 13.1 — Forward-Looking Enterprise Targets

14. Appendix

A. Definitions

For the purposes of this report, "Enterprise" and "Firm" refer collectively to Apex Meridian Industries Ltd. and its consolidated global subsidiaries. "Fiscal Year" or "FY" refers to the twelve-month period ending March 31 of the designated year.

B. Financial Terminology

Standard accounting principles govern the financial disclosures herein. Certain non-GAAP metrics are utilized to provide deeper insight into operational performance. EBITDA represents earnings before interest, taxes, depreciation and amortization.¹ Free Cash Flow is defined as operating cash flow less capital expenditures.

C. Risk Terminology

Risk impact is evaluated on a qualitative and quantitative basis. Exposure represents the estimated financial value affected under the specified risk scenario.² "High Probability" designates an event with a greater than 40% likelihood of occurrence within the next 18 months.

D. ESG Metric Definitions

Environmental tracking adheres to the GHG Protocol Corporate Accounting and Reporting Standard. ESG emissions are reported in tonnes of carbon dioxide equivalent.³ "Scope 1" covers direct emissions from owned or controlled sources. "Scope 2" covers indirect emissions from the generation of purchased electricity, steam, heating and cooling consumed by the reporting company.

E. Reporting Assumptions

Projections and forward-looking statements embedded within Section 8 (Scenario Stress Testing) and Section 13 (Outlook) are based on internal management modeling, utilizing data available as of May 2026. These models assume no catastrophic global conflicts or unmodeled global pandemics.

F. Data Sources

Financial data is extracted directly from our central ERP ledger. Supply chain transit times and port delay metrics are synthesized via our proprietary logistics platform, integrating third-party telematics and global maritime beacon data.

¹ [1] EBITDA represents earnings before interest, taxes, depreciation and amortization.

² [2] Exposure represents the estimated financial value affected under the specified risk scenario.

³ [3] ESG emissions are reported in tonnes of carbon dioxide equivalent.